

BEFORE THE FEDERAL MARITIME COMMISSION

DOCKET NO. 25-08

FORMUKLEEN, LLC, *Complainant*

v.

TOP SHIPPING SYSTEMS CORP., *Respondent*

VERIFIED ANSWER

Respondent, Top Shipping Systems Corp. (“Respondent” or “TSS”), hereby submits this Verified Answer in response to the Verified Complaint filed by FormuKleen, LLC (“Complainant” or “FormuKleen”) in FMC Docket No. 25-08. Pursuant to the Commission’s Rules of Practice and Procedure and the Initial Order dated June 17, 2025, Respondent answers each paragraph of the Complaint as follows:

PRELIMINARY STATEMENT

Complainant has filed this action alleging violations of the Shipping Act of 1984, specifically under 46 U.S.C. §§ 41102 and 41104. Respondent Top Shipping Systems Corp. (“TSS”) denies all material allegations, denies that it violated the Shipping Act, and denies that the Act applies under the facts alleged.

TSS did not act as an Ocean Freight Forwarder (“OFF”) or Non-Vessel Operating Common Carrier (“NVOCC”) for the shipments referenced in the Complaint for containers CSHU4047424 and BSIU8431017. Rather, TSS acted solely as a trucking (drayage) provider, customs broker, and warehouse operator for those shipments. These functions are not governed by the Shipping Act, and thus the Federal Maritime Commission lacks subject-matter jurisdiction over the claims asserted.

Additionally, while TSS had a lawful right under UCC § 7-209 and applicable maritime law to assert a warehouseman’s lien for unpaid charges exceeding \$40,000 at the time, it chose not to exercise that right. TSS instead made good-faith efforts to resolve the account cooperatively without escalation. Any temporary retention of cargo was legally justified, non-punitive, and handled with transparency.

Pursuant to 46 C.F.R. § 502.312, TSS submits this answer responding to each paragraph of the Complaint and reserves all rights to assert further defenses and seek dismissal of the Complaint in whole or in part.

1. ANSWER TO MATTERS SET FORTH IN COMPLAINT

3.1. *Complainant is a "shipper" as defined by 46 U.S.C. § 40102(23).*

ANSWER: Admitted. Respondent admits that Complainant qualifies as a "shipper" as defined by 46 U.S.C. § 40102(23) in connection with the subject shipments.

3.2. The FMC has subject-matter jurisdiction over this Complaint pursuant to the Shipping Act and, in particular, 46 U.S.C. § Sections 41301 through 41309.

ANSWER: Denied. Respondent denies that the Federal Maritime Commission (FMC) has subject-matter jurisdiction over this matter. With respect to the subject shipments identified in the Complaint, Respondent provided only inland services, including trucking (drayage), customs brokerage, and warehousing, all of which fall outside the scope of the Shipping Act and Title 46 of the United States Code.

3.3 The FMC has personal jurisdiction over the Respondent as a "Non-Vessel Operating Common Carrier" ("NVOCC") and "Ocean Freight Forwarder" ("OFF") as defined in 46 U.S.C. § 40102(17)(19).

ANSWER: Denied. Respondent was not acting as an NVOCC or OFF for the shipments identified in the Complaint. TSS's role was limited to non-carrier functions (customs clearance, trucking, and warehousing). The Respondent did not issue any house bill of lading, arrange ocean carriage, or act as an intermediary in foreign oceanborne commerce with respect to the subject shipments.

3.4. *The Respondent has repeatedly violated 46 U.S.C. § 41104(a)(4)(E).*

ANSWER: Denied. Respondent denies engaging in any unjust or unreasonable preference or prejudice and denies that 46 U.S.C. § 41104(a)(4)(E) applies to its conduct with respect to the subject shipments. While TSS is a licensed and regulated carrier, it was not acting in that capacity in connection with the services at issue, which were limited to inland trucking, customs brokerage, and warehousing.

3.5. *The Respondent failed to establish, observe, and enforce just and reasonable practices relating to receiving, handling, storing, and delivering the property of Complainant in violation of 46 U.S.C. § 41102(c).*

ANSWER: Denied. Respondent acted at all times reasonably and in good faith in its capacity as a customs broker, warehouse operator, and drayage provider for these shipments, not as a regulated ocean carrier. Following clearance, the cargo was redirected to Respondent's warehouse solely due to Complainant's failure to remit payment. This action was lawful and commercially necessary to protect unpaid charges. As shown in Exhibits RX-App0001 through RX-App0005, Respondent maintained clear communication with Complainant and did not engage in any unjust or unreasonable practice within the meaning of 46 U.S.C. § 41102(c).

3.6. Respondent is in violation of 46 CFR § 41102(d), specifically 46 CFR § 41102(d)(B) which states that: (d) Retaliation and Other Discriminatory Actions. -A common carrier, marine terminal operator, or ocean transportation intermediary, acting alone or in conjunction with any other person, directly or indirectly, may not (1) retaliate against a shipper, an agent of a shipper, an ocean transportation intermediary, or a motor carrier by refusing, or threatening to refuse, an otherwise-available cargo space accommodation; or (2) resort to any other unfair or unjustly discriminatory action for-(A) the reason that a shipper, an agent of a shipper, an ocean transportation intermediary, or motor carrier has

- (i) patronized another carrier; or
- (ii) filed a complaint against the common carrier, marine terminal operator, or ocean transportation intermediary; or

(B) any other reason. (Our emphases)

ANSWER: Denied. Respondent did not retaliate against Complainant or engage in any discriminatory conduct. Cargo was temporarily retained due to unresolved payment. While Respondent had a good-faith legal basis to assert a warehouseman's lien under UCC § 7-209, no formal lien was exercised. Complainant was kept fully informed of the cargo's status and location. As shown in RX-App0003, Respondent clearly communicated where the container was being held. Cargo was released as payments were made, demonstrating that Respondent's actions were based solely on valid commercial considerations not any complaint or protected activity. See RX-App0001 – RX-App0004.

3.7. Respondents are in violation of 46 CFR § 515.32. Particularly;

46 CFR § 515.32(c) which clearly states that "No licensed freight forwarder shall withhold any information concerning a forwarding transaction from its principal." (Our Emphases)

ANSWER: Denied. Respondent was not acting as a licensed freight forwarder for the subject shipments. Top Shipping Systems Corp. ("TSS") provided only customs brokerage and trucking services, and was not responsible for ocean transportation or freight forwarding. Respondent disclosed all relevant shipment information to the appropriate parties. Accordingly, this regulation does not apply.

3.8. Respondents are in violation of 46 U.S.C. § 41104(a)(10).

ANSWER: Denied. Respondent did not knowingly or willfully transport cargo in violation of the Shipping Act. Top Shipping Systems Corp. ("TSS") did not act as a common carrier or NVOCC for the subject shipments and was not responsible for ocean transportation. TSS acted solely as a customs broker, warehouse operator, and inland trucking provider. Accordingly, 46 U.S.C. § 41104(a)(10) does not apply to Respondent's conduct.

2. Scope of Services for Subject Shipments

Top Shipping Systems Corp. (“TSS”) did not act as the ocean freight forwarder or Non-Vessel Operating Common Carrier (NVOCC) for the containers referenced in this complaint CSHU4047424 and BSIU8431017. For these shipments, TSS’s role was strictly limited to customs brokerage, drayage/trucking, and warehousing.

Any allegations under the Shipping Act pertaining to carrier conduct or maritime liens do not apply to these transactions.

3. Lawful Right to Assert Warehouse Lien - Exercised with Restraint

Top Shipping Systems Corp. (“TSS”) had a clear legal basis under UCC § 7-209 and applicable maritime law to assert a warehouseman’s lien over the subject containers CSHU4047424 and BSIU8431017 for the unpaid charges relating to their handling, storage, brokerage, and inland transport. These balances, which at the time exceeded \$40,000, were owed directly by FormuKleen and remained unresolved despite repeated follow-up.

TSS’s legal right to retain the cargo under lien arose from its role as warehouse operator and bailee. However, rather than immediately enforcing the lien, TSS deliberately chose not to escalate the matter, and instead:

- Communicated clearly with FormuKleen about outstanding balances and release procedures.
- Provided detailed documentation regarding charges, container status, and payment instructions.
- Paid port storage charges on FormuKleen’s behalf to prevent terminal delays or abandonment.
- Offered multiple opportunities to resolve the account and release the cargo without legal enforcement.

This approach demonstrates that TSS acted in good faith and in the client’s interest, even when entitled under law to enforce its rights more aggressively. Cargo was not withheld punitively or arbitrarily. It was temporarily retained based on a clear legal basis, which TSS tried to resolve through cooperation and transparency before escalating.

4. Shipment History & Timeline of Events

Incident #1: Container CSHU4047424

- Telex release was received on January 24, 2025.
- Container arrived at port on February 2, but was unavailable until February 6.
- The container was pulled and held at our trucking partner's yard until February 25, when it was finally delivered to FormuKleen's warehouse after delays caused by unpaid balances owed to TSS.

Throughout this period, TSS kept FormuKleen informed of the container's location and the financial condition preventing earlier release. At no point was the cargo withheld without justification or communication.

Incident #2: Container BSIU8431017

- **March 25:** FormuKleen's supplier repeatedly reported non-payment, preventing release of the Bill of Lading.

Date: 2025-03-27 09:58

Subject: Re: RE: RE: RE: RE: RE: The production pictures, loading container pictures and documents of 24IHP3545108 - IMP376862

To: alberto; Eddy Del Monte; import; ISF; Jessie

CC: Ricky Villena; Tina; support@formukleen.com; Valerie Thodde

Hi Valerie,

Nice day.

It's really urgent to arrange the payment of this shipment immediately as the last free day for cargo pick up is Monday March 31st.

Because it will take about 3-4days we can receive them after you paid it, pls understand.

Waiting to receive the bank slip for checking.

Any questions, pls be free to let me know.

Tess

Sales Department

iHotel Guest Amenitis Co., Ltd

RX-App0001

- **Mar 26–Apr 1, 2025** – Eddy Del Monte (TSS Operations) informed FormuKleen and its supplier that the last free day for container pickup was March 31, 2025, and that TSS was still awaiting the Original Bill of Lading (OBL) and Telex release. Multiple follow-ups were sent by Eddy during this period to urge timely payment to the

supplier. Despite these efforts, the supplier continued to report non-receipt of funds, preventing document release and delaying cargo availability.

- **April 9:** Although the Telex release was confirmed by FormuKleen's supplier, CMA/CGM's release remained pending due to non-payment. On the same day, Eddy Del Monte reiterated the release process to Valerie Thoddé (FormuKleen), clearly explaining that the shipping line would only authorize release once both payment and the OBL were received. He emphasized that without this, the container remained under freight hold and neither TSS nor FormuKleen could retrieve it. A screenshot of the SFCT freight portal was also shared to provide real-time visibility.

From: Eddy Del Monte
Sent: Wednesday, April 9, 2025 2:17 PM
To: Valerie Thodde <valerie@formukleen.com>; Tina <sales32@ihlt.cc>; Alberto Acosta <alberto@formukleen.com>; import <import@tssc corp.us>; ISF <isf@tssc corp.us>; Jessie <jessie@formukleen.com>; Tess <sales12@ihlt.cc>
Cc: Ricky Villena <rickyvillena@tssc corp.us>; sales51 <sales51@ihlt.cc>; support@formukleen.com
Subject: RE: RE: RE: RE: RE: RE: RE: The production pictures, loading container pictures and documents of 24IHP3545108 - IMP376862

Hello Valerie,

As I have explained the process before and your vendors have stated that the freight release can take a few days. .

This is a chain reaction.

When you pay your factory they then pay the co-loader in origin who then pays the shipping line. Once the shipping line has the payment and OBL they go ahead and release the container.

As of now your container is not released at the port, neither you nor I can pick it up.

Please refer to the screenshot of the web portal for SFCT. (FREIGHT HOLD)

Regards,

RX-App0002

- **April 14–16:** TSS paid port storage fees and transferred the container to its warehouse. We notified FormuKleen of cargo status, storage charges, and the process to retrieve goods.

From: Eddy Del Monte
Sent: Wednesday, April 16, 2025 2:58 PM
To: Jessie <jessie@formukleen.com>
Cc: Ricky Villena <rickyvillena@tssc corp.us>; Valerie Thodde <valerie@formukleen.com>; Yohana De Freitas <yohana.defreitas@tssc corp.us>; Yesireth De Freitas <yesireth.defreitas@tssc corp.us>; Jose De Freitas <jose.defreitas@tssc corp.us>; support@formukleen.com; Veronica Martino <veronica.martino@tssc corp.us>; Isaac Sarmiento <isaac.sarmiento@tssc corp.us>; Alberto Acosta <alberto@formukleen.com>
Subject: RE: Missing Container-Re: The production pictures, loading container pictures and documents of 24IHP3545108 - IMP376862-01

Hello Jessie,

As a courtesy I removed DHY from this email string.

Please find my invoice and payment backup for the storage charges paid to SFCT for this recent container.

As per my accounting department I was given instructions to bring this container to TSS Whse.

Goods have been placed into your inventory and will be released once your account has been brought up to date.

Please contact them as soon as possible for payment arrangements.

I also attached email alerting you of the freight release status, last free day and daily storage charges.

Regards, Thank You,

Please note that our company will be closed on Friday, April 18th, for the Easter holiday weekend. We will resume our operations on Monday, April 21st, 2025.

RX-App0003

- **April 17:** DHY Shipping Line confirmed that although the Telex release and payment had been received on April 9, the cargo could not have been released prior to April 10 due to standard processing timelines for OMBL (Original Master Bill of Lading) shipments. DHY further clarified that while same-day pickup is occasionally possible, “it did not apply in this instance.” They also noted that FormuKleen’s April 14 communication pertained solely to demurrage charges not the freight release further disproving the claim that TSS failed to coordinate timely cargo delivery.

From: DHY Imports Team <imports@dhyshippingline.com>
Sent: Thursday, April 17, 2025 2:03 PM
To: Jessie <jessie@formukleen.com>
Cc: Ricky Villena <ricky.villena@tscorp.us>; Valerie Thodde <valerie@formukleen.com>; DHY Documentation Team <doc@dhyshippingline.com>; Eddy Del Monte <eddy.delmonte@tscorp.us>; Yohana De Freitas <yohana.defreitas@tscorp.us>; Yesireth De Freitas <yesireth.defreitas@tscorp.us>; Jose De Freitas <jose.defreitas@tscorp.us>; support@formukleen.com; Veronica Martino <veronica.martino@tscorp.us>; ISF <isf@tscorp.us>; EQUIPMENT DHY <equipment@dhyshippingline.com>; Isaac Sarmiento <isaac.sarmiento@tscorp.us>; Alberto Acosta <alberto@formukleen.com>
Subject: Re: Missing Container-Re: The production pictures, loading container pictures and documents of 24IHP3545108 - IMP376862-01

Good day Jessie

We confirm that the TLX release and proof of payment to DHY, both received on 04/09, are correct.

However, as this is an OMBL shipment, it requires at least 24 business hours to process the release. Accordingly, the freight was released on 04/10. While same-day pickup may be possible in certain cases, it did not apply in this instance, and pickup could only be arranged after 04/10.

Additionally, as mentioned in my previous email, the payment received by the terminal on 04/14 was for demurrage charges, not for the freight release.

Please let us know if you need any further clarification.

Best regards,
Nic H. | IMPORT Manager
DHY Shipping Line Inc.
2121 W. MISSION ROAD UNIT 301, ALHAMBRA CA 91803
TEL: (510) 818-3216

RX-App0004

- **April 17–23:** TSS revoked FormuKleen’s credit terms due to its ongoing delinquency, but continued to cooperate. We provided customs duty instructions and offered to coordinate release after payment.

RE: Account on Credit Hold - r-Re: The production pictures, loading container pictures and documents of 24IHP3545108 - IMP376862-01 - urgent attention required ** 3rd message sent for a reply **

 Eddy Del Monte
To:  Ricky Villena;  Valerie Thodde;  Jessie
Cc:  Yohana De Freitas;  Yesireth De Freitas;  Jose De Freitas;  support@formukleen.com;  Veronica Martino;  ISF;  Isaac Sarmiento;  Alberto Acosta;  Glendy Pena

General

 Click here to download pictures. To help protect your privacy, Outlook prevented automatic download of some pictures in this message.

 CreditDuties 86808.pdf 64 KB  0030971-9.pdf 348 KB

Good Morning Valerie, Jessie,

As a follow up to the below email from Ricky.

Please find attached Credit Memo 86808 in the amount of \$14,130.39 for duties that have not been paid to U.S. Customs.

You will need to submit a company check or bank check as soon as possible for the stated amount payable to U.S. Customs and Border Protection.

Payment must be sent to:

Cargo Clearance Center
6601 NW 25th St. Suite 202
Miami, FL 33122
M-F, 8AM – 4PM

It is best if you make payment in person, you will need to clock in your payment.

You will need to attach a copy of the attached CF7501 to the check.

The check must contain your IRS Number and our entry number which is located on Box 1 of the CF7501.

Regards,

RX-App0005

These confirmations directly refute any allegation that TSS obstructed release or failed to coordinate pickup appropriately. On the contrary, the record shows that TSS communicated consistently, incurred costs on the client's behalf, and worked to ensure transparency and release readiness.

5. Response to Allegations of Bad Faith and Misconduct

TSS firmly rejects the allegations that it acted in bad faith or failed to fulfill its responsibilities. These claims are both factually and legally unsupported.

Throughout the period in question, Mr. Eddy Del Monte, a member of TSS's operations team, maintained open, timely, and documented communication with FormuKleen and its representatives. His actions included:

- Sending multiple reminders regarding last free days and shipment status updates.
- Alerting FormuKleen to pending payment issues with their supplier and shipping line, which directly impacted release timelines.
- Providing detailed account aging summaries upon request, with full transparency.
- Issuing clear instructions on how to submit customs duties directly, once TSS determined due to consistent non-payment that it could no longer front duties on FormuKleen's behalf.
- Informing the consignee of the container's warehouse transfer, location, and storage obligations, while remaining available to assist with release coordination.

These communications are fully documented through email correspondence and included multiple FormuKleen personnel in copy. Any suggestion that TSS withheld information, acted punitively, or used customs or trucking access as a retaliatory tactic is inaccurate and contradicted by the written record.

At no point did TSS withhold invoices, shipment updates, or documentation. On the contrary, Mr. Del Monte consistently responded to inquiries and escalated concerns internally in an effort to support release coordination. TSS even incurred additional costs, including port storage payments on FormuKleen's behalf, in a good-faith attempt to prevent further delays.

TSS's conduct reflects a sustained effort to cooperate professionally and transparently, despite the substantial financial exposure caused by FormuKleen's failure to remit payment for services already rendered.

6. Escalation by FormuKleen: Threats and Law Enforcement Involvement

In addition to the factual inaccuracies in the Verified Complaint, it is important to note that FormuKleen, through its representatives, engaged in behavior that escalated the situation beyond a normal commercial dispute.

Specifically, FormuKleen representatives:

- Contacted local law enforcement in an attempt to pressure TSS to release cargo, despite being advised of their outstanding balance and the lawful basis for the container's hold.
- Admitted in written correspondence to issuing threats toward TSS staff during these interactions. These threats were unwarranted and inappropriate, and placed undue stress on our personnel who were acting under valid commercial and regulatory authority.

TSS handled these actions calmly, professionally, and without escalation, choosing instead to continue offering FormuKleen a pathway to resolve the matter through payment and coordination.

Such conduct undermines FormuKleen's claims of bad faith on TSS's part, and instead reflects a pattern of aggressive, uncooperative behavior that further complicated resolution.

7. Financial Harm Incurred by TSS

TSS has incurred significant financial harm in the course of trying to accommodate FormuKleen, including:

- Paying port storage, outlay fees as a courtesy, and warehouse fees without timely reimbursement, often beyond agreed credit terms.
- Enduring logistics delays and operational burdens stemming from delayed or unpaid invoices.
- Absorbing brokerage, trucking, and handling costs on behalf of a client with a consistent pattern of delayed payment.

Despite these challenges, TSS continued to act in good faith and offered multiple avenues for FormuKleen to resolve the matter and secure release of their cargo.

8. Prayer for Relief

Respondent respectfully requests that the Federal Maritime Commission dismiss the Complaint in its entirety with prejudice, deny all relief requested by Complainant, and award Respondent such other and further relief as the Commission deems just and proper. Respondent further requests that, to the extent permissible, it be awarded any costs incurred in responding to the Complaint.

In light of the facts, legal standards, and documented communications outlined above, Respondent respectfully asks the Commission to:

- Acknowledge that Top Shipping Systems Corp. (“TSS”) did not act as an ocean freight forwarder or NVOCC for the shipments in question, and that its role was limited to warehousing, trucking, and customs brokerage.
- Recognize TSS’s lawful right to assert a warehouseman’s lien under UCC § 7-209, and the company’s decision to defer formal enforcement in favor of cooperation and resolution.
- Consider the substantial communication, transparency, and operational costs absorbed by TSS in its good-faith effort to resolve this matter without escalation.
- Confirm that the services performed by TSS for the subject shipments fall outside the scope of the Shipping Act and are not within the Commission’s jurisdiction.
- Ultimately dismiss the Verified Complaint in full, as the delays and disruption arose from Complainant FormuKleen’s own financial inaction not from any misconduct by TSS.

Additional Note:

Following the filing of this Verified Complaint, TSS continued to act in good faith by allowing FormuKleen to arrange for the pickup of their cargo, despite the ongoing dispute. While FormuKleen has made partial payments toward its outstanding balance, this dispute could have been avoided entirely had timely payment been made at the outset. As of the date of this response, a remaining unpaid balance continues to exist, further illustrating Complainant's failure to satisfy its financial obligations and undermining the credibility of its claims.

TSS remains available to provide additional documentation or to appear in proceedings as may be required.

Respectfully Submitted,

TOP SHIPPING SYSTEMS CORP

Ricky Villena
Vice President

Dated: July 8th, 2025

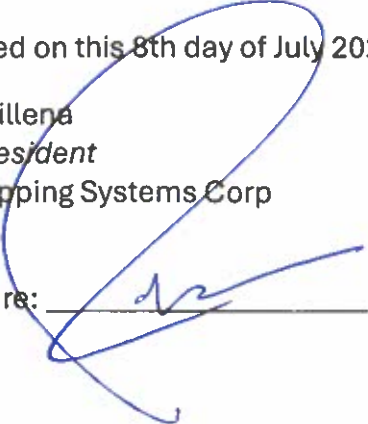
VERIFICATION

I, Ricky Villena declare under penalty of perjury under the laws of the United States that I am the *Vice President* of Top Shipping Systems Corp., and that I have read the foregoing Response to Verified Complaint in FMC Docket No. 25-08. I verify that the statements made therein are true and correct to the best of my knowledge, information, and belief.

Executed on this 8th day of July 2025, in Miami, Florida.

Ricky Villena
Vice President
Top Shipping Systems Corp

Signature: _____



CERTIFICATE OF SERVICE

I certify that on the 8th day of July, 2025, a true and correct copy of the foregoing Response to Verified Complaint was served by electronic mail upon the counsel of record for Complainant, in accordance with 46 CFR Part 502 and the Commission's Order of May 12, 2020.

Served to:

Sara Dandan
FourOneOne LLC
2501 Chatham Rd, Suite 8082
Springfield, IL 62704
Email: sara@fouroneone.io

Chief Administrative Law Judge
Federal Maritime Commission
Email: judges@fmc.gov

Federal Maritime Commission
Office of the Secretary 800 North Capitol Street, N.W.
Washington, D.C. 20573-0001
Email: secretary@fmc.gov

Dated at Miami, Florida, this 8th day of July, 2025

Ricky Villena
For: Top Shipping Systems Corp.
12480 NW 25th St, Ste 100
Miami, FL 33182
Email: ricky.villena@tsscorp.us

Signature: 